

Unimech Aerospace and Manufacturing Ltd

Raghav | May 2026
Price (May 2026)

₹ 1,183

A genuinely good business, in a genuinely good sector, at a price that already assumes the ending

NSE: UNIMECH · BSE: 544322 · Aerospace & Defence · Small cap

Market cap ₹ 6,010 Cr	52-week range ₹ 695 – 1,323	Shares o/s 5.08 Cr	Face value ₹ 5
Book value/sh ₹ 145	P/B (trailing) 8.2x	P/E (trailing) 95x	Promoter holding 79.8%
FII / DII (Jun-26) 0.4% / 5.6%	Net cash (FY26) ₹ 353 Cr	Order book ₹ 314 Cr	Dividend yield Nil

± 5 µm

MACHINING TOLERANCE

155+

CNC MACHINES

AS9100D

AEROSPACE CERTIFIED

~6,000

QUALIFIED SKUS

Source: Exchange data, Screener.in, company filings. Market data as of May 2026. Net cash = treasury investments less borrowings at 31 March 2026.

INVESTMENT SUMMARY

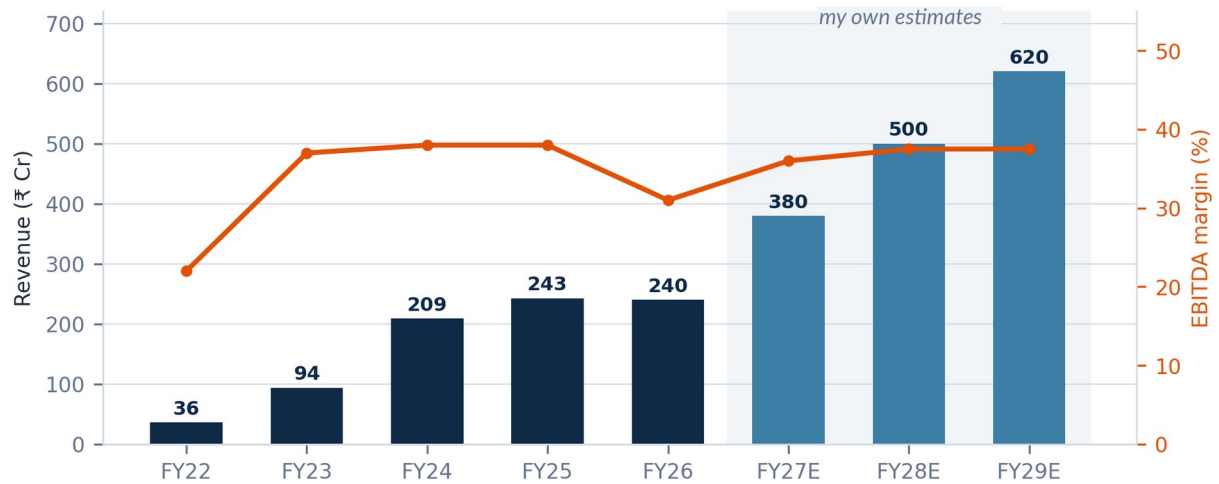
Unimech Aerospace makes the tooling that other people use to build and maintain jet engines and airframes — engine lifting and balancing beams, assembly-disassembly and calibration rigs, ground support equipment, engine transportation stands — plus a growing book of precision components and electro-mechanical sub-assemblies for defence, nuclear and semiconductor customers. Roughly 95% of what it makes is exported, and the large majority of that is billed into the United States.

I think fair value is about ₹1,190, essentially at the current price. This is not a negative view of the business. It is a view about what has already been paid for it. Unimech has, in my judgement, one of the more durable competitive positions available in Indian small-cap manufacturing — built on per-SKU customer qualification that takes 12–18 months and is paid for by the supplier — and it sits in front of an aerospace aftermarket that has close to a decade of visible demand behind it. What it does not have, at 95x trailing earnings, is a margin of safety. My reverse-DCF says today's price embeds roughly a 65% revenue CAGR for five consecutive years (Exhibit 8). I think the company can grow quickly. I do not think it can grow that quickly for that long with confidence, and I am not willing to underwrite it at a price that requires it.

- **The year was lost, the business was not.** FY26 revenue was flat at ₹240 Cr and EBITDA fell 18% to ₹75 Cr — but Q4 alone did ₹82 Cr at a 43.1% EBITDA margin. The margin engine was never broken; US tariff uncertainty simply froze customer ordering and shipments for two quarters.
- **The book has rebuilt and diversified.** The order book roughly doubled to ₹314 Cr as of 26 May 2026 on record FY26 inflows of ₹383 Cr, including about ₹87 Cr of nuclear work — a genuinely new end-market, not a re-labelled old one.
- **Capacity is built and paid for.** Capacity utilisation sits at roughly 50% and management does not foresee significant core-business capex in FY27. Revenue can roughly double against the existing asset base. This is where the operating leverage comes from, and it is the single most important thing to monitor.
- **The moat is a qualification base, and it is compounding.** Approximately 6,000 qualified SKUs and over 200 first-article approvals in FY26. Every approval is a switching cost the customer has to re-incur to leave. Management expects to double first-article inspections in FY27, and the FACC long-term supply agreement signed in June 2026 shows the credential compounding into new customers.

- **Earnings quality deserves a hard look.** About ₹47 Cr of FY26's ₹80 Cr pre-tax profit was other income earned on the IPO treasury. Strip it out and the operating business earned roughly ₹34 Cr — which puts the operating P/E closer to 175x. Management has guided this line lower in FY27 as cash is deployed into M&A. Reported earnings will flatter the FY27 base less than the market may expect.

Exhibit 1: FY26 was a lost year on revenue, not on capability



Source: Company filings and earnings calls, my own analysis. FY27E–FY29E are my own estimates. Data as of May 2026.

Exhibit 1 frames the whole debate. The FY22–FY25 record is exceptional and the FY26 dip is explicable. My FY27E–FY29E path assumes the recovery holds and utilisation improves — and even on those estimates, the revenue base in FY29E is ₹620 Cr against a market capitalisation of ₹6,010 Cr today.

MY VIEW

This is a high-quality compounder that has been bid to a price where the compounding is already in the number. I would own Unimech enthusiastically in the ₹850–950 band, where the scenario-weighted expected return exceeds 30% and the FY28E P/E falls below 38x. At ₹1,183 I am buyers of the business and not of the stock.

The cleanest near-term test arrives with Q1 FY27 results in August. Management has publicly targeted revenue above Q4 FY26's ₹82 Cr. Hitting it validates the recovery; missing it re-opens the question of whether FY26 was a shipping problem or a demand problem.

WHAT THE COMPANY ACTUALLY DOES

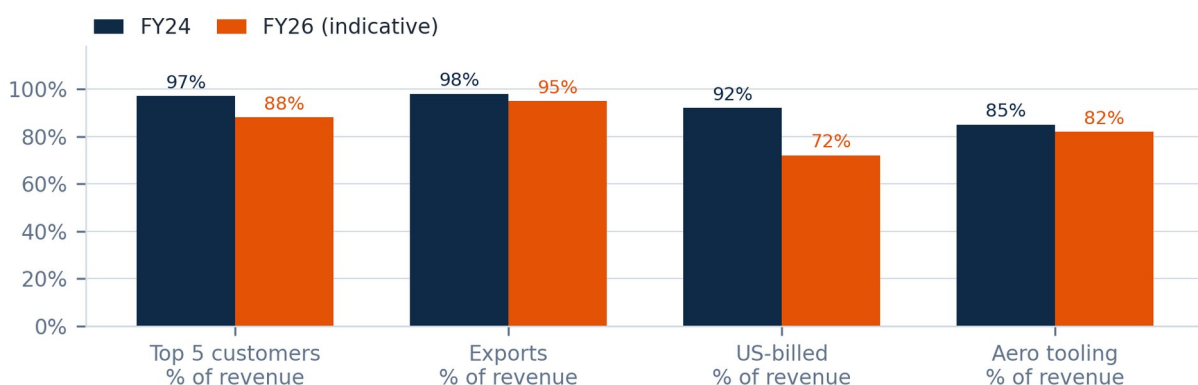
The most common mistake with Unimech is to file it under “aerospace components” and price it against parts makers. It is closer to a capital-equipment supplier to the aerospace production and maintenance system. When Rolls-Royce, GE, Airbus, Boeing or their MRO network open an engine, the beams, stands, fixtures, calibration rigs and ground support equipment used to lift, cradle, align and test that engine are tooling. Unimech designs and builds that tooling to the customer's print (build-to-print) or to a performance specification the customer hands over (build-to-specification).

Two consequences follow, and they run through the rest of this note. First, the customer is a manufacturing-engineering function, not a procurement function optimising unit cost — tooling is a small line item that gates an expensive shop visit, so reliability beats price. That is why a machining business earns a 70–79% gross margin and a 40%-plus EBITDA margin in a good quarter, where a conventional job shop earns 12–18%. Second, demand is driven by shop visits, new programme introductions and fleet maintenance cycles rather than by aircraft deliveries alone, which is a steadier driver — though a lumpier, more project-shaped revenue line.

Structure and footprint

- **Origins.** Incorporated 2016 in Bengaluru; Innomech Aerospace Toolings acquired as a subsidiary in 2018; listed December 2024 on a ₹500 Cr IPO that was subscribed roughly 175 times and listed at an 86–90% premium.
- **Two reported segments.** Aero-tooling and MRO tooling is the larger segment at roughly 80% of revenue; precision components and assemblies is roughly 20% and growing faster.
- **Capability.** Over 150 CNC machines, tolerances quoted to ± 5 microns, AS9100D and ISO 9001 certification, an ISO/IEC 17025 in-house calibration laboratory, and Cyber Essentials certification for the data-handling side of build-to-print work.
- **FY26 expansion.** Hobel Bellows acquired outright in April 2026 (metallic bellows, flexible tubing, pipe bending, advanced welding); a joint venture with the Yusuf Bin Ahmed Kanoo Group to build a machining and remanufacturing facility in Dammam, Saudi Arabia with a stated \$30m Phase I; and a Free Trade Warehousing Zone facility nearing operation.

Exhibit 2: Concentration is falling — but slowly, and from a very high base



Source: DRHP (FY24 actuals); FY26 figures are my own estimates from management commentary. Data as of May 2026.

Concentration is the other half of the picture and it is not yet solved. As of FY24 the top five customers were roughly 97% of revenue and the top three roughly 94%; exports were about 98% of revenue, with US-billed customers about 92%. Management commentary through FY26 indicates the mix has broadened — new customers onboarded, drop-shipment routing to non-US customers covering an estimated 65–70% of consumption — but the business remains a handful of relationships. FY26 is the proof: when those customers paused, revenue fell 37% year-on-year in a single quarter.

THE SECTOR: THREE DEMAND CURVES, ALL POINTING THE SAME WAY

I am constructive on the aerospace aftermarket for reasons that have very little to do with sentiment and a great deal to do with arithmetic.

1. The aircraft that cannot be delivered must instead be maintained

At the start of 2026 airlines were waiting on a backlog of more than 17,000 aircraft — more than twelve years of production at current build rates, against a pre-pandemic backlog of 10,000–11,000. Airbus was producing around 54 A320s a month against a 75-a-month target for 2027; Boeing had regulatory clearance for 42 737s a month against an earlier 57 target. Oliver Wyman estimates supply-chain constraints will cap production until at least 2030, representing over 6,000 aircraft that would otherwise have been built. The global in-service fleet of roughly 30,000 aircraft is forecast to reach about 41,000 by 2036, a 3.2% CAGR.

Every one of those undelivered aircraft is an older aircraft staying in service longer than planned. Older fleets need more shop visits, more spares and more tooling. This is not a cyclical upswing that mean-reverts next year; it is a structural extension of asset life caused by a supply bottleneck that nobody can fix quickly.

2. The MRO market is in a genuine supercycle

Global MRO demand has reached roughly \$136bn on Oliver Wyman's numbers. Mordor sizes the commercial aircraft MRO market at about \$101bn in 2026 rising to \$128bn by 2031, a 4.9% CAGR, with engine overhaul the largest slice at roughly 46% of spend — which is precisely where Unimech's gas-turbine tooling sits. Asia-Pacific is the fastest-growing region. India's own MRO market is forecast to more than double from about \$3.1bn in 2026 to \$6.9bn by 2036, and India is expected to be the fastest-growing aviation market globally at a 7.1% fleet CAGR.

3. Tier-1 capacity constraint is pushing work to qualified low-cost suppliers

The Western aerospace supply chain is short of skilled labour and machine hours. That is the mechanism by which an Indian supplier with AS9100D, a calibration lab and a track record of first-article approvals gets onto approved-vendor lists it could not have reached a decade ago. Unimech's June 2026 long-term supply agreement with FACC of Austria is a clean example. The same dynamic runs domestically: India's indigenous defence production reached about ₹1.78 lakh crore in FY26, up 15.6%, and the listed defence cohort's aggregate order backlog sits at roughly 4.6x FY26 revenue on ICICI Securities' aggregation.

WHAT THIS MEANS FOR THE STOCK

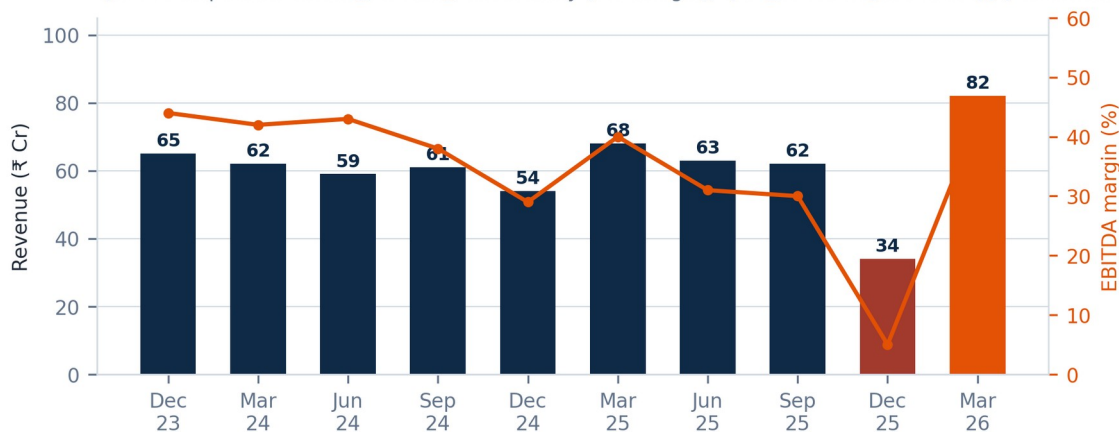
The sector case is real and I do not think it is the contested part of this investment. Aftermarket tooling demand has a decade of visible support and Unimech is credibly positioned inside it. The contested part is entirely about price — whether a ₹240 Cr revenue business with roughly five meaningful customers should carry a ₹6,000 Cr market capitalisation today, or should be bought when the market next loses patience with it.

INVESTMENT THESIS

1. FY26 was an order-flow interruption, not a franchise impairment

The full-year optics are bad: revenue down 1% to ₹240 Cr, EBITDA down 18% to ₹75 Cr, margin from 38% to 31%, PAT down to ₹63 Cr. The quarterly path tells a different story. Q3 FY26 collapsed to ₹34 Cr of revenue at a 5% EBITDA margin as US tariff uncertainty caused customers to defer shipments and work down inventory. Q4 then did ₹82 Cr at 43.1% — a higher margin than any quarter in FY25. A business with a structurally impaired cost position does not print its best margin in the quarter immediately after its worst.

Exhibit 3: The margin engine was intact all along — only the shipments stopped



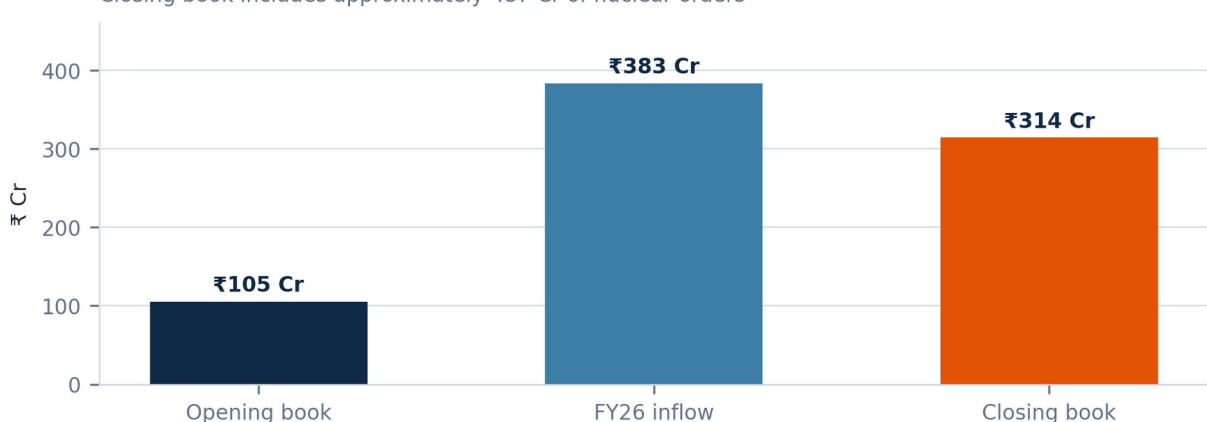
Source: Company filings and earnings calls, my own analysis. Data as of May 2026.

The distinction matters for how you underwrite FY27. If FY26 was demand destruction, the FY27 base is ₹240 Cr and you are forecasting a recovery. If it was a timing dislocation — which the Q4 margin, the record order inflow and the customer inventory rebuild all support — the base is closer to the ₹82 Cr quarterly run-rate, and FY27 starts from ₹330 Cr annualised before any growth at all.

2. The order book has doubled and, more importantly, changed shape

FY26 order inflows of ₹383 Cr were the highest in the company's history, rebuilding the consolidated book to about ₹314 Cr by 26 May 2026 — roughly 1.3x FY26 revenue. Around ₹87 Cr of that is nuclear work, an end-market Unimech was not meaningfully in two years ago, won against bids the company has said total roughly ₹800 Cr of submitted nuclear tenders.

Exhibit 4: Record inflows rebuilt the book to 1.3x FY26 revenue



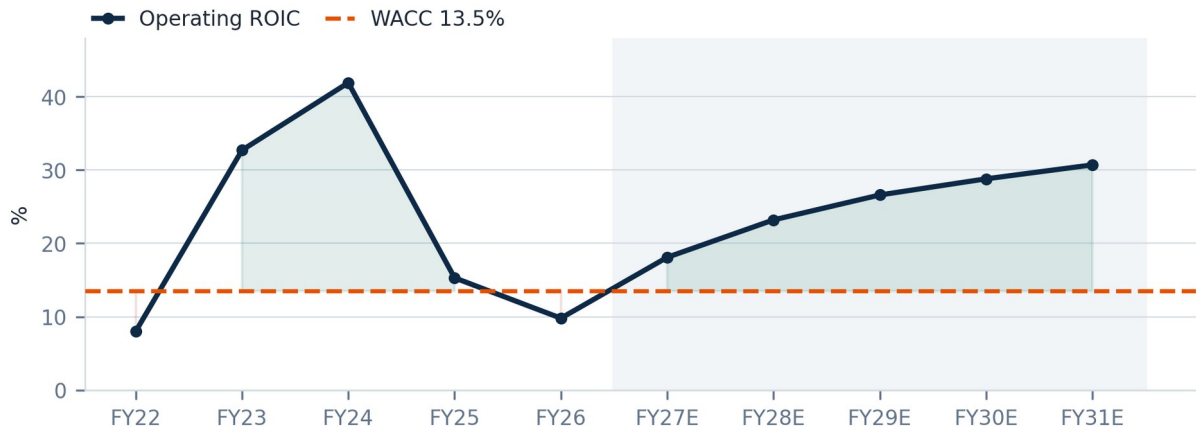
Source: Company Q4FY26 results release and earnings call; opening book is a my own estimates. Data as of May 2026.

Execution cycles differ by segment and this shapes the FY27 revenue phasing: aero tooling converts in four to six months, Hobel Bellows orders in about twelve, and nuclear in twelve to eighteen. The near-term revenue is therefore aero-tooling led, with nuclear building through FY28.

3. Utilisation, not capex, is the operating leverage

Unimech spent FY25 and FY26 building capacity ahead of demand — fixed assets went from ₹52 Cr to ₹198 Cr, depreciation from ₹4 Cr to ₹26 Cr, and returns on capital fell accordingly. Management has stated capacity utilisation is around 50% and that it expects utilisation to improve substantially over the next 30 to 36 months, with no significant core-business capex required in FY27. That is the cleanest operating-leverage setup available: the cost is already in the P&L and the revenue is not.

Exhibit 5: Returns fell below the cost of capital — utilisation is the way back



Source: Company filings; operating invested capital excludes IPO treasury. Forecasts are my own estimates. Data as of May 2026.

On my estimates operating ROIC — measured on invested capital excluding the IPO treasury, which is the honest way to look at the operating business — troughed at roughly 10% in FY26 and crosses my 13.5% cost of capital during FY27E, reaching the low-to-mid 20s by FY28E. Until that crossover happens, the company is technically destroying value on incremental capital. That is a temporary condition of a deliberate capacity build, not a structural verdict, but it is worth stating plainly because it is the reason the reported return ratios look so poor against the valuation.

4. Qualification compounds into wallet share

Roughly 6,000 SKUs are qualified cumulatively and over 200 first articles were approved in FY26 across aerospace, semiconductor and defence applications. Management expects to double first-article inspections in FY27. Qualification does not convert to revenue immediately — in high-mix, low-volume tooling an approved SKU may sit dormant until a shop visit calls for it — but each approval is an option on recurring orders that only Unimech can exercise.

5. Two options bought with the IPO money

Hobel Bellows (metallic bellows, flexible tubing, advanced welding) was acquired outright in April 2026 and described by management as capability-led and EPS-accretive. It matters less for its own P&L than for what it lets Unimech quote: larger, more integrated packages to customers who increasingly prefer fewer, broader suppliers. The Kanoo joint venture in Dammam puts machining and remanufacturing capacity next to Middle East energy customers with a stated \$30m Phase I. Both are sensible uses of a balance sheet carrying ₹480 Cr of treasury investments. Both also add integration and execution risk to a company that did ₹240 Cr of revenue last year, and I treat them as options rather than as forecast contributors.

THE MOAT — WHAT IT IS, AND WHAT IT IS NOT

Unimech's competitive advantage is frequently described as "precision manufacturing capability", which is nearly meaningless — many firms can hold five microns. The advantage is narrower, more specific and considerably more durable than that.

Exhibit 6: The qualification flywheel is the moat — slow to build, slow to lose



Source: Company disclosures and earnings calls, my own analysis. Data as of May 2026.

Layer 1 — Per-SKU qualification lock-in (the real moat)

Nothing enters an aerospace production or overhaul line without a first-article inspection accepted by the OEM. That process runs twelve to eighteen months per SKU and the supplier bears the cost. Once a part is qualified against a specific engine or airframe programme, replacing that supplier means the customer voluntarily re-incurring twelve to eighteen months of cost and airworthiness risk — for a line item that is a rounding error in their budget but which halts an expensive shop visit if it fails. This is the textbook structure of a high switching cost attached to a low-salience purchase, and it is the strongest form of industrial moat available. Roughly 6,000 qualified SKUs is not a capability statistic; it is an installed base.

Layer 2 — The awkward middle of high-mix, low-volume

Unimech's order profile is thousands of SKUs in lot sizes of a handful. That is uneconomic for a large contract manufacturer optimised for runs, and technically out of reach for the small job shop that could tolerate the lot size. The niche is structural rather than defended, and it shows up directly in the gross margin: roughly 70% for FY26 and 73% in Q4.

Layer 3 — Criticality relative to cost

A balancing beam is a trivial fraction of the cost of an engine overhaul and an absolute prerequisite for performing one. Customers therefore buy on reliability, lead time and traceability, not on price. This is the mechanism that sustains a 40%-plus EBITDA margin in a business that is, mechanically, metal-cutting.

Layer 4 — Certification and quality infrastructure

AS9100D, ISO 9001, an ISO/IEC 17025 in-house calibration laboratory and Cyber Essentials are the price of being allowed to quote. None is individually hard to obtain; collectively they take years and a clean audit history, and they compound with the qualification base because approvals are granted against a certified quality system, not against a machine.

Layer 5 — Reference density

Approved-vendor status with one engine OEM is the credential that opens the next. The FACC long-term supply agreement signed in June 2026 is the visible evidence of this working, as is the movement into nuclear tendering on the strength of an aerospace quality pedigree.

WHAT THE MOAT DOES NOT PROTECT

It is a supplier-side moat, not a demand-side one. Pricing power over a customer who has stopped ordering is worth precisely nothing — FY26 demonstrated this at a cost of ₹17 Cr of EBITDA.

It does not protect against trade policy, tariff routing or currency. Q4 FY26 alone carried a ₹9.6 Cr foreign-exchange loss on foreign-currency borrowing.

And it is only as wide as the relationships it sits inside. With the top five customers at close to 90% of revenue, this is a moat around five castles, not fifty.

FINANCIAL SUMMARY

₹ Cr (consolidated)	FY24	FY25	FY26	FY27E	FY28E
Revenue from operations	209	243	240	380	500
growth (%)	122.3	16.3	(1.0)	58.3	31.6
EBITDA	79	92	75	137	188
EBITDA margin (%)	37.8	37.9	31.2	36.0	37.5
Other income	5	25	47	32	26
Depreciation	4	11	26	34	40
Finance cost	3	4	15	9	10
Profit before tax	76	102	80	126	164
Net profit	58	83	63	100	128
EPS (₹)	13.2	16.4	12.4	19.6	25.1
Return on equity (%)	54.0	21.4	9.0	12.8	14.4
Operating ROIC (%)	41.9	15.3	9.8	18.1	23.2
Net cash (₹ Cr)	(30)	260	353	200	230
P/E at CMP (x)	90	72	95	60	47
EV/EBITDA at CMP (x)	72	61	75	41	30

Source: Screener.in consolidated financials (FY24–FY26); FY27E–FY28E are my own estimates. EV held constant at ₹5,657 Cr (market cap less FY26 net cash) across all years for comparability. Operating ROIC computed on invested capital excluding treasury investments. Negatives in parentheses.

Three observations the table does not make on its own. First, earnings quality: ₹47 Cr of FY26's ₹80 Cr pre-tax profit was other income, roughly 59% of the total, earned on ₹480 Cr of treasury investments from the IPO and pre-IPO placement. The operating business earned closer to ₹34 Cr after tax. Management has said this line will moderate in FY27 as capital is deployed into acquisitions, which means reported PAT growth in FY27 will understate operating PAT growth — an unusual and, for once, favourable distortion.

Second, the finance cost of ₹15.3 Cr in FY26 is not a run-rate. Roughly ₹9.6 Cr of it was a one-time exchange loss on foreign-currency borrowing booked in Q4 following a sharp rupee depreciation. Underlying finance cost was closer to ₹5.7 Cr.

Third, working capital deserves watching. The cash conversion cycle stretched to 137 days in FY26 from 108 days, with debtor days at 98 and inventory at 156 — the inevitable consequence of building inventory for shipments that were then deferred. Operating cash conversion nonetheless held up at 104% of operating profit, and free cash flow turned positive at ₹25 Cr. I assume roughly 30% of incremental revenue is absorbed into working capital in my forecasts, which is the single most consequential assumption in the DCF after the growth rate itself.

VALUATION

I run three approaches and, unusually, they do not converge. I report that honestly rather than tuning assumptions until they agree, because the disagreement is itself the finding. A discounted cash flow prices a company for what it earns; a 95x multiple prices it for what it might become. Both are visible below.

Cost of capital

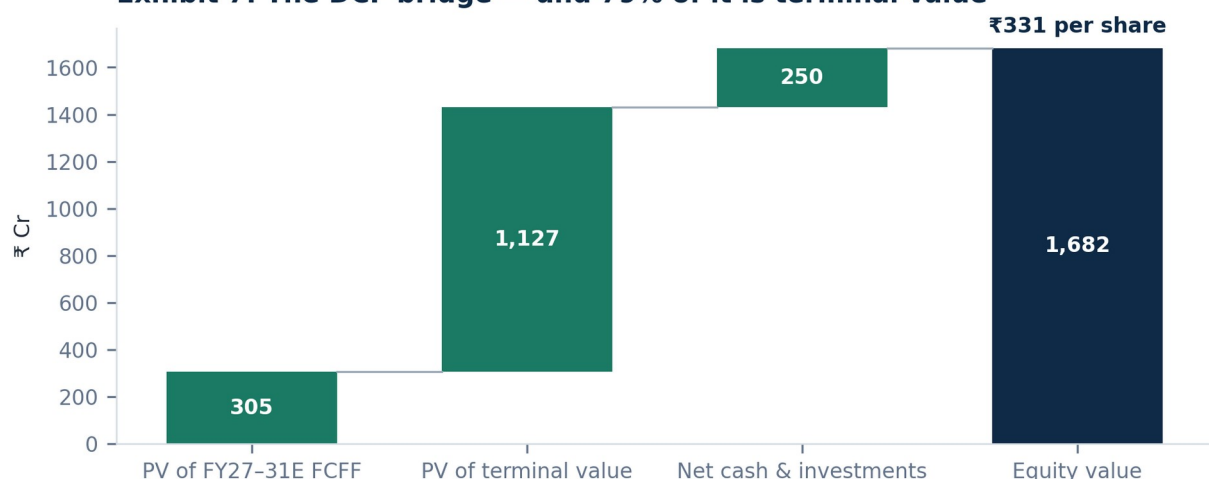
WACC build	Input	Basis
Risk-free rate	6.8%	10-yr G-Sec, May 26
Equity risk premium	6.5%	India long-run, my own assumption
Beta	1.15	Assumption — <2 yrs listed
Cost of equity	14.3%	CAPM
Pre-tax cost of debt	8.75%	Assumption
Tax rate	25.0%	Statutory
After-tax cost of debt	6.6%	Derived
Target debt weight	10.0%	Net-cash balance sheet
WACC	13.5%	Applied
Terminal growth	5.5%	Long-run nominal India

Source: my own analysis. Risk-free rate per benchmark 10-year G-Sec yield of approximately 6.78% on May 2026. Beta is a stated assumption, not a regression — the stock has under two years of listed history.

Free cash flow to the firm

₹ Cr	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	380	500	620	730	830
growth (%)	58.3	31.6	24.0	17.7	13.7
EBITDA	137	188	233	270	303
margin (%)	36.0	37.5	37.5	37.0	36.5
Less: depreciation	(34)	(40)	(46)	(52)	(57)
EBIT	103	148	187	218	246
NOPAT (23% tax)	79	114	144	168	189
Add: depreciation	34	40	46	52	57
Less: capex	(45)	(55)	(60)	(62)	(62)
Less: change in NWC	(42)	(36)	(36)	(33)	(30)
Free cash flow to firm	26	63	94	125	154

Source: my own estimates. Working capital absorption assumed at approximately 30% of incremental revenue.

Exhibit 7: The DCF bridge — and 79% of it is terminal value

Source: my own estimates. WACC 13.5%, terminal growth 5.5%. Data as of May 2026.

The base-case DCF produces an equity value of ₹1,682 Cr, or ₹331 per share — 72% below the current price. Two disclosures are mandatory here. The terminal value is 79% of enterprise value, which is high and means the answer is largely a statement about the terminal assumption rather than about the explicit forecast period. And the Gordon terminal value of ₹2,036 Cr implies an exit multiple of only 6.7x FY31E EBITDA, which is plainly too low for a business of this quality. Run it the other way — an 18x exit multiple on FY31E EBITDA — and the implied terminal growth rate is 10.4%, which is plainly too high. The truth sits between two implausible endpoints, which is the honest characterisation of any DCF on a company this early in its scaling.

Sensitivity of value per share (₹)

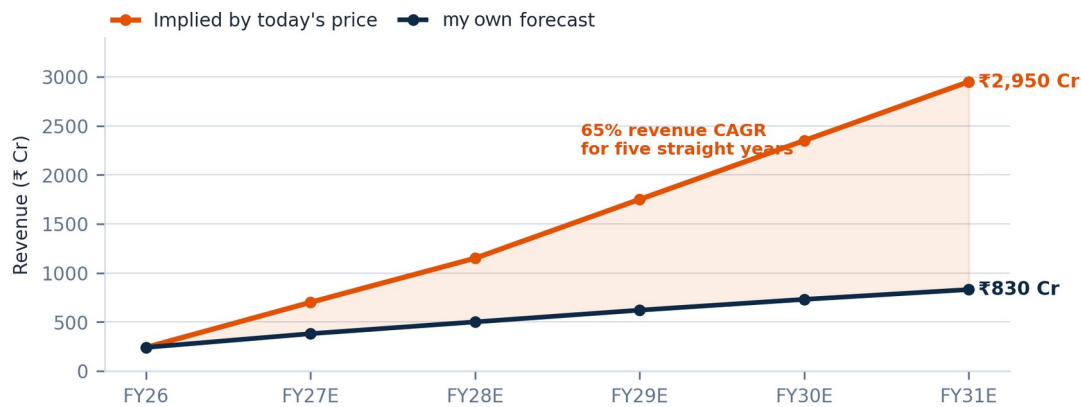
WACC \ terminal g	4.5%	5.0%	5.5%	6.0%	6.5%
11.5%	386	408	434	465	502
12.5%	340	356	375	397	422
13.5% (base)	305	317	331	347	365
14.5%	276	286	297	309	323
15.5%	253	261	270	279	289

Source: my own analysis. No combination of defensible discount rate and terminal growth produces a DCF value within 60% of the current market price.

The reverse DCF — what you have to believe

Since the forward DCF cannot reach the market price, the more useful exercise is to invert it: hold the discount rate, terminal growth and margin structure constant, and solve for the revenue trajectory that justifies ₹1,183 per share.

Exhibit 8: What you have to believe — the price embeds a 12x revenue base by FY31



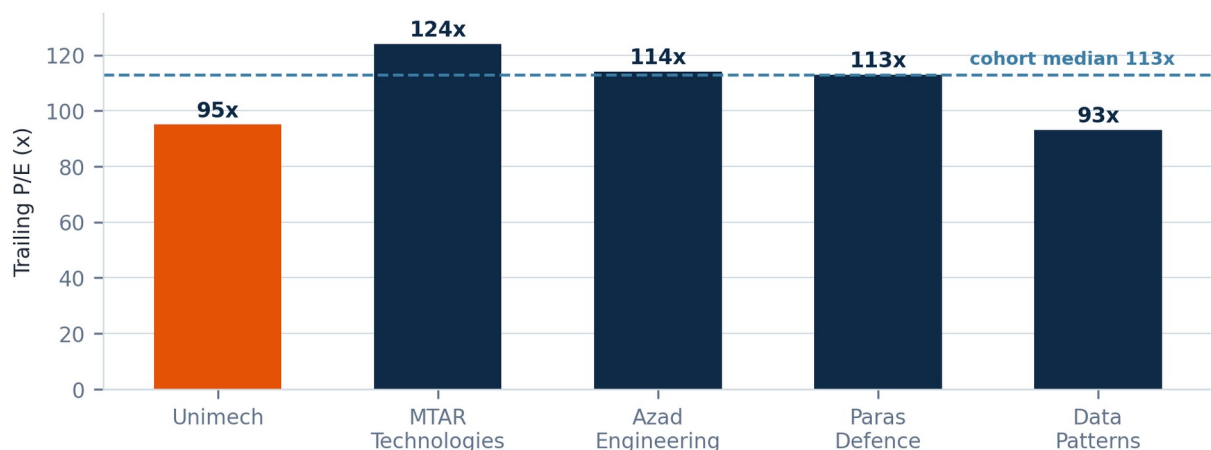
Source: my own analysis reverse-DCF at WACC 13.5%, terminal growth 5.5%, 37.5% terminal EBITDA margin. Data as of May 2026.

The answer is a terminal-year revenue of roughly ₹2,950 Cr by FY31E — about 12 times the FY26 base, a 65% compound annual growth rate sustained for five consecutive years, at a 37.5% EBITDA margin throughout. Unimech did compound revenue at roughly 88% between FY22 and FY25, so this is not a physically impossible number for this company. But it was achieved from a ₹36 Cr base, and the arithmetic of scaling is unforgiving: growing from ₹240 Cr to ₹2,950 Cr requires winning and executing an order book larger than the entire listed Indian precision-aerospace cohort currently carries, while integrating two acquisitions, standing up a Saudi facility and holding aerospace-grade margins.

I am not saying it cannot happen. I am saying that it is the base case embedded in the price, which leaves nothing for the investor if it merely goes well rather than exceptionally well — and a long way to fall if it goes badly. That asymmetry, not the quality of the business, is what drives my caution.

Peer cross-check

Exhibit 9: Unimech is not the expensive one in an expensive cohort



Source: Screener.in and exchange data; trailing FY26 consolidated earnings. Data as of late Jul 2026.

Company	Mcap (₹ Cr)	FY26 PAT	P/E (x)	P/B (x)	EBITDA %
Unimech Aerospace	6,010	63	95	8.2	31.2
MTAR Technologies	16,782	135	124	20.3	n.a.
Azad Engineering	15,026	132	114	9.7	37.4

Company	Mcap (₹ Cr)	FY26 PAT	P/E (x)	P/B (x)	EBITDA %
Paras Defence	10,080	90	113	13.9	n.a.
Data Patterns (India)	24,982	268	93	14.4	40.1
Cohort median (ex-Unimech)	15,026	132	114	13.9	—

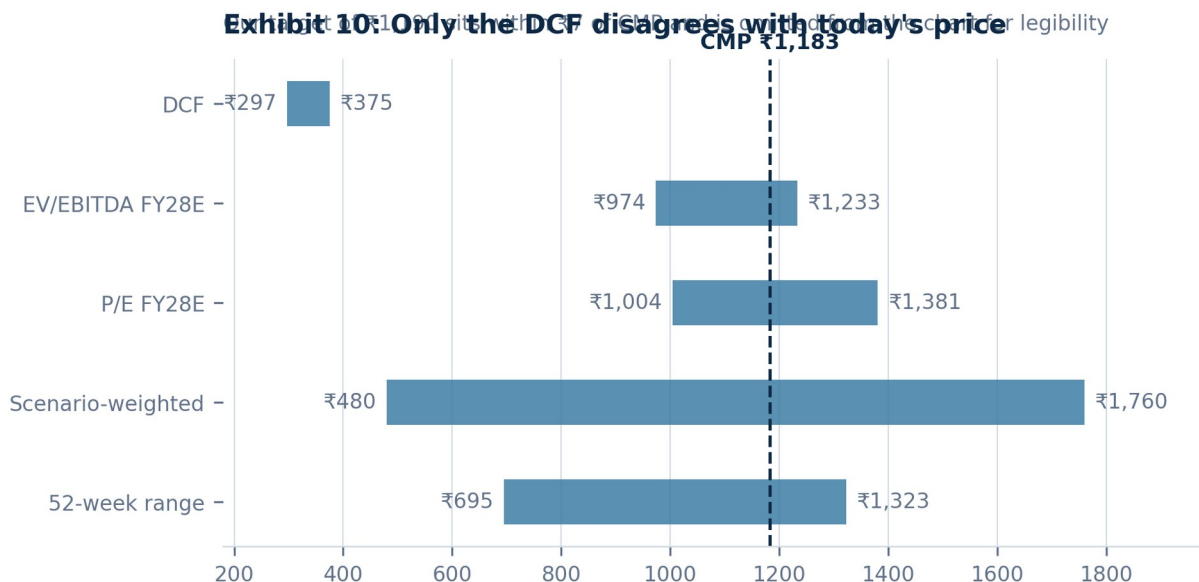
Source: Screener.in and exchange data, May 2026; trailing FY26 consolidated earnings. EBITDA margins shown only where independently sourced. Peer set is directional — no listed Indian company is a pure comparable for aero-tooling.

Against its cohort, Unimech is the cheapest name on trailing earnings and carries the lowest price-to-book. This is the strongest argument for the stock and I take it seriously: an investor who believes the Indian precision-aerospace complex deserves 110x is looking at the one member trading at 95x with arguably the best gross margin structure. My discomfort is that the cohort multiple is itself the thing being assumed. Relative cheapness inside an expensive cohort is a bet on the cohort, not a valuation.

Scenarios and fair value

Scenario	What differs	FY28E value	Weight
Bull	Utilisation to 75%+, nuclear and Hobel scale, FY28E EPS ₹32; market holds 55x	₹ 1,760	30%
Base	Recovery holds, FY28E EPS ₹25.1, multiple compresses to 45x	₹ 1,135	50%
Bear	Renewed order deferral or a key customer loss; FY28E EPS ₹16 at a de-rated 30x	₹ 480	20%
Probability-weighted target		₹ 1,190	100%

Source: my own analysis. Scenario weights are judgemental. The distribution is deliberately asymmetric — the bear case involves multiple compression and earnings decline simultaneously, which is how expensive small caps actually fall.



Source: my own estimates; 52-week range from exchange data. Data as of May 2026.

Every multiple-based method lands within a band around today's price. Only the DCF disagrees, and it disagrees by a factor of three and a half. I anchor my fair value on the scenario weighting at ₹1,190 and treat the DCF as a risk statement rather than a fair-value statement. I would start adding at ₹950: at that price the FY28E multiple falls below 38x, the scenario-weighted expected return exceeds 25%, and the bear case stops being a permanent capital impairment and becomes a bad year.

RISKS

- **1. Customer concentration.** The top five customers were roughly 97% of FY24 revenue and remain close to 90%. The loss of a single relationship, or a programme being insourced, would remove a material fraction of revenue at once. I would change my view on evidence of the top-three share falling below 70%.
- **2. Trade policy and tariff routing.** FY26 was the live demonstration: US tariff uncertainty deferred shipments, cost roughly ₹17 Cr of EBITDA and produced a 5% margin quarter. Roughly 95% of revenue is exported and the majority is billed into the US. Drop-shipment routing mitigates but does not eliminate the exposure. A second tariff episode in FY27 would break the recovery thesis outright.
- **3. Other income roll-off.** ₹47 Cr of FY26 pre-tax profit was treasury income, guided lower for FY27. If operating earnings do not scale as capital is redeployed into acquisitions, reported PAT could stagnate even on a revenue recovery — a poor outcome at 95x.
- **4. Simultaneous execution load.** Hobel Bellows integration, the Dammam joint venture build-out and FTWZ operationalisation are running concurrently in a company that generated ₹240 Cr of revenue last year. Management bandwidth is a genuine constraint at this scale. Evidence of margin dilution from Hobel or slippage in Saudi Phase I would concern me.
- **5. Cohort de-rating.** The entire listed Indian precision-aerospace cohort trades at 93–124x trailing earnings. A sector-wide de-rating would hit Unimech regardless of its own execution. This is the dominant near-term driver of the share price and it is entirely outside management's control.
- **6. Working capital and currency.** The cash conversion cycle stretched to 137 days in FY26 and the balance sheet carries ₹127 Cr of borrowings, some in foreign currency — a ₹9.6 Cr exchange loss hit Q4 FY26 alone. Scaling revenue three-fold on 30% incremental working-capital absorption consumes a great deal of the cash the P&L generates.

WHAT I AM WATCHING

- **Q1 FY27 results (August 2026).** Management has publicly targeted revenue above Q4 FY26's ₹82 Cr. This is the single cleanest test of whether FY26 was timing or demand.
- **First-article inspection run-rate.** Management expects to double FY26's 200-plus approvals. FAI count is the leading indicator of revenue two to three years out and is disclosed in the quarterly deck.
- **Capacity utilisation disclosure.** The ₹50% figure and its trajectory. Every 10 points of utilisation on the existing asset base is close to pure incremental margin.
- **Nuclear order conversion.** ₹87 Cr of orders on a 12–18 month cycle. First revenue recognition confirms the end-market is real rather than a one-off tender win.
- **Hobel margin and Saudi Phase I capex.** Neither has been disclosed with segment-level margin. The first clean quarter of consolidated Hobel numbers will tell me whether the acquisition is accretive to margin or only to revenue.